

complaint

On his own behalf and as the executor of his late wife's will, Mr A complains that, when he arranged Landlord insurance, U K Insurance Limited ("UKI") didn't tell him the policy would be cancelled if the insured property became unoccupied.

background

Shortly after the insurance commenced, one of the tenants left. When it was told about this, UKI gave notice that the policy would be cancelled. Mr A has said he wouldn't have proceeded with the policy if he'd been told UKI would do this.

The policy was cancelled and the property was uninsured until Mr A arranged replacement cover with another insurer. UKI refunded the unused part of the premium, but Mr A wants it to refund the balance and pay compensation.

UKI said Mr A was told it can only insure occupied premises. And the policy made it clear that it should be notified in the event of any important changes.

Our adjudicator thought that, when the policy was arranged, UKI should have made it clear that it wouldn't continue covering the property if part of it later became unoccupied. He said UKI should refund the balance of the premium and pay compensation of £100.

UKI disagreed. It said it's not feasible to tell customers about every circumstance in which it might exercise the policy condition allowing it to cancel the policy with notice. And the time between giving Mr A notice of cancellation and actually cancelling the insurance was a lot longer than specified in the policy.

I issued a provisional decision. I said the policy didn't make it clear that UKI wouldn't continue to cover properties if they became unoccupied or partially unoccupied. In fact, I thought the Unoccupancy condition in the policy implied the opposite.

It was my view that UKI's intention regarding unoccupied properties should, fairly, have been mentioned at the start. I agreed with Mr A that it's in the nature of letting properties that tenants leave from time to time. UKI knew what it would do in that situation, but Mr A didn't. I said UKI should have told him.

On the other hand, I said that, if the tenant gave Mr A notice of its intention to leave, I'd expect him to have taken immediate steps to secure another tenant.

Mr A had said the premium he paid for the replacement insurance was more than he could have obtained if he'd been able to shop around. But I hadn't seen any evidence supporting this. In any event, I didn't think UKI could fairly be required to refund the part of the premium that was for the period during which it provided cover on the property. I thought it was entitled to a premium for the risk it had run in that period.

But I accepted that its decision came as a surprise to Mr A and meant he had to arrange alternative cover. While I thought he should have started looking for this straight away, I agreed that UKI's decision would have caused him trouble and upset. I thought compensation of £100 was fair for this.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Neither party responded to the provisional decision. In the circumstances, I'm still of the view that I set out there.

my final decision

I uphold this complaint. U K Insurance Limited should pay Mr A compensation of £100.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr A to accept or reject my decision before 5 May 2016.

S Lilley
ombudsman